II. Very Short Answer Question:

1. What is Reserve?
2. Define a "Reserve".
3. What are the types of Reserves?
4. What is capital reserve?
5. What is secret reserve?
6. Write a note on sinking fund.
7. What is meant by provision?
8. Define a Provision.

III. Short Answer Questions:

1. What is general reserve? How it is created?
2. Differentiate reserves and provisions.
3. How can capital reserve be created?
4. How secret reserve is created?
5. Explain the duties of an auditor with capital reserve.
6. What are the duties of an auditor with regard to sinking fund?
7. What are the duties of an auditor with regard to secret reserves?
8. Briefly explain various types of provisions.

IV. Essay Type Questions:

1. Discuss the classifications of reserves.
2. What are the dangers of creating secret reserve?
3. Explain the auditor's duty with regard to provisions
4. Discuss the auditor's duty with regard to reserves.
5. Differentiate Reserves and Provisions.

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